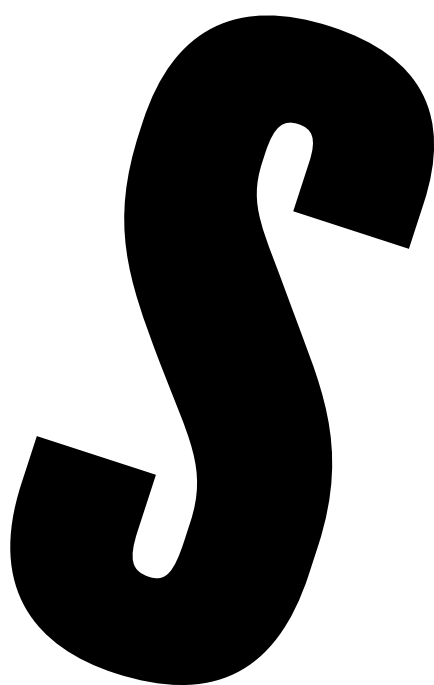


AS THE DUST SETTLES
ON THE SILICON VALLEY
BANK SAGA, INDIA'S
START-UP AND INVESTOR
COMMUNITIES ARE
TREADING WITH CAUTION.
THEIR BIGGEST LESSON
LEARNT: DIVERSIFY RISKS
FROM DAY ONE

BY **SOHINI MITTER & BINU PAUL**



all the required attention. Neither VCs nor founders ever discussed this earlier,” says Neeraj Tyagi, Co-founder & CEO of WeFounderCircle, a global community of founders and angels. “Every investor wants to understand who your technology head is, do you have vendors, or are



you building tech in-house, etc. But the finance stack is not even a slide on the pitch deck.” Tyagi adds that even in growth-stage start-ups, all the talk is about cash flows and profitability, not risk management.

SVB has changed that, perhaps for good. “Does the start-up have a Plan B? Should they have more than one financial partner? Should they go with an established bank? All this is becoming a part of boardroom discussions now,” says Tyagi.

WITH THE GROWING chorus around risk management, the oft-asked question is: Should start-ups hire a CFO early in their journey, possibly after raising their first round? “When a start-up is at a very early stage, it’s still trying to figure out its product market fit. It can’t

afford a CFO. And the CFO won’t be interested in that experience either,” says Ganesh. Adds Ashish Fadia, Partner at Blume Ventures, a leading early-stage VC that is now mandating its portfolio companies to have deposits in multiple well-capitalised banks: “Not all companies have seasoned CFOs who understand the risk-reward equation adequately... The SVB crisis is a reminder to hire the right set of people early and, at the same time, have an ecosystem of supporters who can guide the company in such [financial] decisions,” he says.

This ‘ecosystem of supporters’ must necessarily include people who can underscore the need for diversification. “The very fact that SVB collapsed is because it didn’t diversify its portfolio; it kept investing in treasury bonds heavily,” says Gaurav Dani, Founding Partner at IndusLaw, a top law firm. “[Start-ups] have to diversify funds across banks to hedge the risks. If you have \$100 million sitting in the bank, you don’t need all the money on Day One. Keep some to make the payrolls, and invest [the rest] in a manner that you have liquidity when you need it,” he explains.

Not putting all eggs in one basket has sure benefits, as Ruchit Garg, Founder & CEO of agritech start-up Harvesting Farmer Network, discovered amidst SVB’s fall. “While our investment was much more than \$250,000, which FDIC [Federal Deposit Insurance Corporation] was insuring by default, we were not in the crunch mode to pay our vendors [because we were diversified],” he shares. “Start-ups should diversify and have multiple accounts. If they can afford [it], have offshore accounts, too. It’s good to have some money in each country because a bank run can happen anywhere.”

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